

CONNECTING INCOME STATEMENT & BALANCE SHEET

The next thing we need to acknowledge is the effect of changes in the income statement on the balance sheet. Let us say, we have earned Rs.1,00,000 in a month and spent Rs.60,000 out of it. That means we have a surplus of Rs. 40,000. What will we do with this money? We will possibly use it to either buy some asset, pay off a liability or else retain the same as cash which is again an asset. In all of the cases, either our assets go up or our liabilities go down. Both increase our net worth. So, greater the surplus, greater the net worth.

PERSONAL INCOME STATEMENT

Income	INR 1,00,000
Expenses	INR 60,000
Profit / Loss	INR 40,000

PERSONAL BALANCE SHEET

Liabilities	Assets
 Pay-off loans & borrowings worth INR 40,000	 Buy Assets worth INR 40,000 or keep cash
Networth	

Increase in Asset or decrease in liability will both result in increased networth

Now let us assume we are in a deficit. We have spent more than our earnings. We will either sell off an asset to fund that or take an additional liability. In either case, our net worth goes down. This is how the income statement and balance sheet are related to each other. The fate of our income statement over many years ultimately will decide the structure of our personal balance sheet. Unravelling this link is crucial to know how our earnings and expenses affect our assets and liabilities.